

EPIC TURNAROUND

● Profits of the banking sector are up nine times in ten years; there has been a massive improvement in return and NPA ratios

	FY16	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25
Profits	43,900	34,100	-32,438	-23,397	10,911	1,21,998	1,82,032	2,63,214	3,49,603	4,01,180
RoA	0.4%	0.35%	-0.15%	-0.09%	0.15%	0.66%	0.9%	1.20%	1.30%	1.4%
RoE	3.5%	4.1%	-2.80%	-1.80%	0.8%	7.70%	9.9%	11.6%	13.6%	13.5%
NIM	2.6%	2.5%	2.50%	2.70%	2.8%	2.9%	3.4%	3.8%	3.3%	3.1%
CAR	13.3%	13.60%	13.8%	14.30%	14.8%	16.3%	16.8%	17.3%	16.9%	17.4%
Net NPA	4.4%	5.30%	6%	3.7%	2.8%	2.4%	1.7%	0.9%	2.7%	2.2%
Gross Credit	66	71	83	95	100	106	118	136	164	182
Loans & Advances	78	81	87	97	108	103	121	143	171	191

PROFITS IN ₹CRORE AND GROSS BANK CREDIT AND LOANS & ADVANCES IN ₹LAKH CRORE

SOURCE RBI

36 |

better prepared for shocks such as big accounts becoming non-performing assets (NPAs), economic downturns and sudden defaults. “This may require banks to keep aside more money initially. The RBI is giving a glide path until March 31, 2031, so the impact is spread out gradually and doesn’t hurt profitability in one go,” says a banker. According to rating agency Fitch, this will align India’s provisioning rules with global standards.

The RBI has also proposed a shift from the current flat-rate system to a risk-based premium framework. This means banks with stronger balance sheets and better risk management will pay lower insurance premiums.

The timing of the reforms couldn’t have been better. NPAs are at multi-year lows, retail lending is driving overall growth, capital buffers are strong, and the government’s renewed push for manufacturing is set to trigger credit demand from India Inc. In fact, the retail sector is currently operating at full capacity, and cor-

porate credit growth is muted. This is a concern for the government as India’s ambition of 9%-plus GDP growth requires a surge in corporate investments. For that to happen, banks must take a more proactive approach. A lot now rests on the shoulders of India’s bankers, who must steer this next phase of growth, while balancing risk.

However, experts also express concerns that consolidation could create institutions that are ‘too big to fail’, whereas India perhaps needs more specialised banks focused on MSMEs, microfinance or the mid-market. It also needs technology-first banking models, they say, adding that many unorganised segments of the economy still do not get credit easily.

Clearly, global banks and NBFCs, armed with capital and flexibility, are part of the solution. The next chapter should be written by banks themselves—through disciplined growth, stronger governance, and sharper execution. **BT**